

EQUITY RESEARCH · COMPANY DEEP DIVE

Mastercard Incorporated (MA.US)

Financial Services · Credit Services

Large Cap (>\$200B) · Report Date: September 21, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-09-21

HOLD

Composite · Valuation: UNDERWEIGHT

Target \$537.44 · -5.2% upside

Price \$567.16

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target \$537.44 (-5.2% vs \$567.16); DCF 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; elevated leverage; weak roe; positive fcf generation
- Moderate revenue expansion (14.1% YoY)

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	UNDERWEIGHT	Blended PT \$537.44	45%
FSA	Stable	Health +0.05 · Stable	20%
Technical	BULLISH	Bullish	20%
Quantitative	NEGATIVE	Score -0.30 · 12m -2%	15%
Composite	HOLD	Score -0.06 · 50% confluence	—

Valuation rich but trend improving — wait for confirmation.

INVESTMENT THESIS / EXECUTIVE SUMMARY

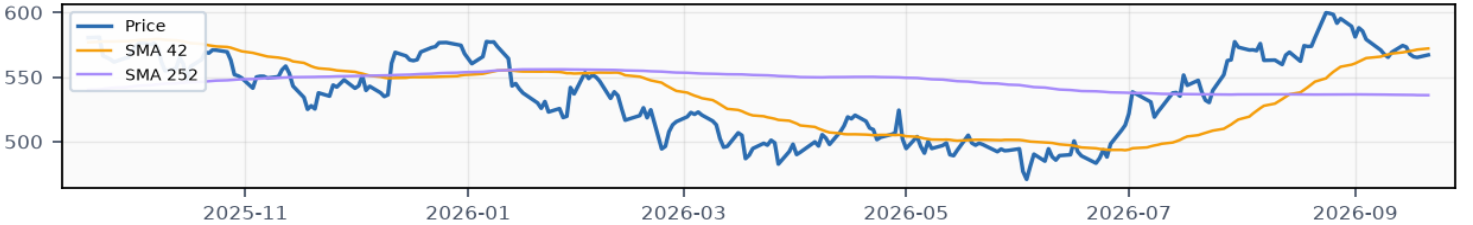
Mastercard Incorporated (MA) — Financial Services. Mastercard Incorporated, a technology company, provides transaction processing and other payment-related products and services in the United States and... **UNDERWEIGHT** rating; blended target \$537.44. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$496.84B	Shares Out.	869.5M
52-Week Range	\$464.52 – \$601.23	P/E (TTM)	31.2x
P/B	88.7x	Beta	0.73
Avg Volume	3.12M	Analyst Rec.	Strong Buy
Revenue (TTM)	\$35.08B	Rev Growth	+14.1%
Op. Margin	61.1%	FCF (TTM)	\$16.43B
Gross Margin	100.0%	ROE	2.4%
EV/EBITDA	22.9x	Debt/Equity	439.6%
EPS (TTM)	\$18.20	Div Yield	62.0%

PRICE TREND · SMA 42 / 252

MA · Price & SMA



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	28,167	32,791	37,415	41,388	44,775
Revenue Growth (%)	N/A	16.4%	14.1%	10.6%	8.2%
Net Income (\$M)	12,874	14,968	17,078	18,892	20,438
Gross Margin (%)	76.3%	77.9%	100.0%	100.0%	100.0%
Net Margin (%)	45.7%	45.6%	45.6%	45.6%	45.6%
EPS (\$)	14.81	17.22	19.64	21.73	23.51
P/E (x)	38.30	32.95	28.87	26.10	24.13

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$572.14	Short-term trend	12m Momentum	-2.3%	
SMA (252d)	\$535.97	Long-term trend	3m Momentum	+16.4%	
RSI (14d)	31.0	Momentum oscillator	Ann. Volatility	24.0%	
Trend	Bullish		Sharpe Ratio	0.32	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-28.3%	
Death Cross (20d)	No		Rel. Strength vs SPY	-17.8%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$572.14, SMA252=\$535.97	Quant Score	-0.30	NEGATIVE
			SMA Backtest (ann.)	11.4%	B&H; 16.8%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	\$505.12	-10.9%	80%	Included in blend
Comps — Blended	\$260.64	-54.0%	0% (excluded)	Diverges below other methods (44% of median)
Analyst consensus	\$666.71	+17.6%	20%	Included in blend
Blended target	\$537.44	-5.2%	100%	DCF 80% + Analyst 20%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
8.04%	1.98%	12.00%	\$439.18B	\$505.12	-10.9%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
AXP	American Express Compa	\$212.05B	19.1x	N/A	16.1%	+12.8%
PYPL	PayPal Holdings, Inc.	\$45.12B	10.0x	7.4x	14.4%	+4.8%
COF	Capital One Financial	\$126.11B	11.3x	N/A	21.9%	+11.1%
DFS	DFS	N/A	N/A	N/A	N/A	N/A
MA*	Mastercard Incorporate	\$496.84B	31.2x	22.9x	46.3%	+14.1%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Trends: Moderate revenue expansion (14.1% YoY); High operating leverage (61.1% margin); Defensive profile (β=0.73) · Risks: Elevated leverage (D/E: 440%) Strong revenue growth; high operating margins; elevated leverage; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.